



An Assignment on
Loopholes in the Contract Act & Need for Modernization of the
Contract act, 1872: A Critical Analysis.

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1. Introduction

The Contract Act, 1872, serves as the fundamental law for all contracts in Bangladesh. It was revolutionary law for its time when contract was made on paper with face-to-face negotiations. However, the 21st is completely different. We now live in a digital age defined by e-commerce, instant global communication, and complex online services. The contract act 1872 was build for a simple 19th century society.

The Act's core principles, such as "Freedom of Contract" and "meeting of minds, were based on an assumption that both parties had equal bargaining power. This assumption is often a legal fiction in modern era where contract is dominated by "Standard Form Contracts". In those "take-it-or-leave-it" agreement, a powerful corporation presents fixed terms and conditions to a consumer who has no power to negotiate.

This fundamental disconnectedness between the Contract Act 1872 and the 21st century's reality has created massive loopholes. In this assignment, I will critically analyze the major loopholes in the Contract Act, 1872 and the need for Modernization of this Act.

2. Major Loopholes and Need for Modernization in the Contract Act, 1872

2.1 The Fiction of “Free Consent” and “Meeting of Minds”

The Contract Act, 1872 imagines a contract is made when two people of equal power sit down, discuss the terms, and come to a perfect agreement on every single point. This is called consensus ad idem, or a true "meeting of minds." Both people give their free and willing consent.

This rarely happens now. Today, when we install any software or sign up for websites or media like Facebook, YouTube, or Twitter, we are presented with a long document called “Terms and Conditions.” We can’t negotiate. We can’t discuss. We only have one choice: click “I Agree” or we have no way of using the service.

Our consent isn’t truly free in the way the contract act 1872 imagines. There is no free consent here. We are just simply accepting their fixed rules. So, the idea of a “meeting of minds” has become a legal fiction today. Using this loophole, big corporate companies are bounding vulnerable parties with unfair terms they never really agreed to.

The Need for Modernization:

This is why the Contract Act, 1872 must be modernized. It has to add new legal concept in it like “unfair contract terms” which will give a judge the power to look a one-sided unfair contract and declare that a specific term is void because of its extremely unfairness towards the weaker party (the consumer). This would protect the person clicking “I Agree” with hidden, abusive terms and will restore fairness.

2.2 Failure to Regulate Standard Form Contracts

This is one of the most significant failures of the Contract Act, 1872. The Act was designed for a world where two parties would negotiate a deal, but in modern time, most of the contract are happening on the term of “take it or leave it.”

There is no chance of negotiation. It is called Standard Form Contract which is pre-drafted contract. In these kinds of contract, a powerful company prepares the contract as they want, and the other party which is usually a vulnerable customer is given no chance but to accept all the terms and conditions. This kind of contract is widely used today for example, we are forming this kind of contract when opening a bank account, getting a sim card or buying an insurance policy. In all of those cases, we don't negotiate. We just agree on those terms and conditions. We cannot say, "I like all the terms, but I want to change this part." You must accept the entire document as it is, or you get no service.

The Contract Act, 1872, has no special law to deal with this. It treats a Standard Form Contract as a normal contract. It assumes that by signing this way, we are giving our “Free Consent” and we have a “meeting of minds” on every single terms and conditions.

This creates a massive loophole. A company can fill the contract with unfair clauses, knowing that that no one will ever read the full document and even if someone reads it, they have no power to change it and the law will still treat the contract as valid.

The Need for Modernization:

To close this massive loophole, the contract act 1872 must be modernized with the concept of Standard Form Contracts where it will be specified that any term which is very unfair isn't valid unless it was clearly and explicitly pointed out to the customer before the contract was signed. This will force companies to become more transparent about the contract and its terms and conditions. And it will also give the consumer a clear idea of what they are signing.

2.3 The Digital Gap: No Rules for Electronic Contracts

The Contract Act 1872 was designed for paper, ink, handwritten signatures and physical letters sent by post. But in modern time, we use emails, digital signatures, and instant messages.

This act's old rules create major confusion when applied to modern contract. It can't answer simple questions of modern contract like: when is a contract formed? When we try to apply the old postal rule that says a contract is made when a letter is posted to our modern email and communication system, it creates a lot of confusion. For example, is an email contract formed when someone click Send, when it reaches the server, or when the other person opens it? The law is silent which creating a huge loophole.

And even more what is a valid signature? The act thinks a signature is something written by hand. It doesn't define if by typing our name or clicking an "I agree" button, do we create a valid contract?

The Need for Modernization:

This legal confusion is bad for business, e-commerce and even for consumers. The Act must be modernized by adding specific chapter for "Electronic Contracts" where it will be specified when a digital contract is formed and what is a valid digital signature for creating a binding legal contract.

2.4 Personal Data as "Consideration"

Consideration is the price for a promise. Without consideration, a contract can't be formed. When defining consideration, the contract act 1872 considered money, goods, service, doing something or abstain from doing something. But today we use many online services for free like Google, Facebook, YouTube where we give our personal information as consideration. Those companies collect our data about what we search, where we go and even who is our friend.

The Contract Act does not recognize "personal data" as a form of consideration.

This creates problems like: if the law doesn't see personal data as the price, it gives us very little power in case if the company misuses it. And the Act also doesn't define how much is someone's personal data worth? The Act has no way to decide this which makes it hard to claim damages if privacy is violated.

The Need for Modernization:

To close this massive loophole which dictates our digital life, the contract act must be modernized where it will recognize "Personal Data" as a valid consideration. So, in this way, it would make free services (google, facebook, youtube) as a valid contract and the user will have much stronger rights to sue if the company misuses the data.

2.5 Gaps in Cross-Border Contracts and Jurisdiction

The Contract Act 1872 was written for contracts made within British Colonial India. It assumes that the parties, the agreement, and any potential court case would all happen locally.

But in modern time, we can instantly make a contract with someone in America. And even more we are using most of the digital services in our digital life by making contract with foreign companies. For example, buying goods online from international sellers like Amazon or Alibaba.

Or using software or services from foreign companies like Microsoft, Google or Netflix. While using those services, we are agreeing the terms and conditions of those companies.

The contract act 1872 doesn't provide any rules for cross-border contract dispute. For example, if someone have a dispute with a US company over a software purchase, should the contract be interpreted using the laws of Bangladesh, or the laws of US? And if the US company breaches the contract where should someone sue them? Can someone sue them in the court in Bangladesh. Or do they have to go to US to sue them?

The Need for Modernization:

A law that can't handle international trade isn't fit in the 21st century. So, the contract act 1872 must be modernized by add new rulings for international cross-border contract. And it will also specify where should a dispute be resolved and if a term violates the local law, what would be the consequence.

3. Conclusion

This critical analysis has shown that even though the Contract Act, 1872, is a fundamental piece of legislation, it is dangerously out of step with the 21st century's reality. The act was built for simple 19th century economy where paper, telegrams, and face-to-face deals dictate. But it wasn't built for the modern digital world where people are using digital devices and services from around the world and can easily communicate and create contract globally by a single click weren't even existed as a concept at that time.

As a result, this has created massive loopholes with serious real-world consequences as discussed in this assignment. For that the need for modernization of the Contract Act, 1872 is absolute.